

MTN.JO pitch deck

PITCH — MTN.JO — VERDICT

PROPOSED — PENDING ADJUDICATION — Do not buy. Both benches reject the case; the file goes to the work queue, not the bin, and reopens only on the evidence gates below (or a re-court at R150 or lower).

What we believe

We believe the original idea was wrong, and we believe that with more confidence than we believed the idea itself.

The idea was: Nigeria's regulator forced MTN to switch off XtraTime (its airtime-lending product), the stock derated about 20% on that, a court then reversed the regulator on 21 July, the service came back on 24 August, so the market is pricing a permanent break in a line that is already restored. Buy the gap.

What we now believe, having read the sources the original brief cited:

- 1. The court did the opposite of what the brief said.** The Federal High Court in Lagos upheld the FCCPC's DEON Regulations 2025 and lifted the injunction that had been *blocking* their enforcement. It trimmed one thing only: the FCCPC cannot issue telecom licences. The phrase the brief leaned on — “concurrency means coexistence, not displacement” — affirms that the consumer-protection regulator's authority sits *alongside* the telecom regulator's. It does not remove it. The rules that caused the shutdown are now live, not struck down.
- 2. Even if we grant the whole recovery, it doesn't move the needle.** The disputed line was about ₦50bn of first-half revenue — roughly \$37m, roughly R0.65bn — against group half-year service revenue of R115.3bn. That is about 0.6% of revenue. MTN Nigeria's after-tax profit rose 70.6% in the same period and it paid a record interim dividend. A roughly R70bn fall in market value cannot be explained by that hole.
- 3. The service came back as something worse.** MTN is no longer the lender of record. It now intermediates through four licensed third-party vendors under new consumer-protection requirements, and management describes the recovery as rebuilding a “whitelisting base” — i.e. re-qualifying customers one by one. The volume may return; the economics per unit will not. Nobody has put a number on that haircut, including us.
- 4. The “management is bidding the stock” pillar was an arithmetic mistake.** The brief divided the R6bn buyback authorisation by an estimated 31m shares and got R193.50 — “above spot,” therefore a floor. The actual share count is 1.83bn. R6bn is 1.7% of the company, it is an “up to” authorisation, and it sits inside an existing policy of returning 40–60% of equity free cash flow. It is a substitute for dividend, not new demand, and it is certainly not a limit price.

5. **The label on the whole file was unfalsifiable.** The name was screened in as “damage-absent within its class” — cheap relative to peers that were genuinely damaged. But the peer list was never built (the cohort file wouldn’t open), and no peer number appears anywhere in the brief. You cannot rank a member against a median that does not exist.

What we believe is *true and useful* out of this: the demotion from lender to distribution channel is a real, general mechanism worth carrying forward, and the most important valuation question about MTN is one nobody in this court answered — see “What remains unverified.”

What the market believes

The market believes MTN just had a good half and is worth roughly what it costs.

Nine analysts cover it; five say buy, two hold, two sell; the average target is about R226.67, roughly 18% above the R191 area. The stock is up about 25.7% over the past year and sits about 44% above its 52-week low of R133.16. The August move down is a pullback from an eight-week-old high of R234.26, not a collapse.

The consensus story: record margins, 92.5% cash conversion, a first buyback, Nigeria’s profit recovering hard, and the Iran stake written down again as a known nuisance. On this reading the XtraTime interruption was a bump that has already been fixed.

Importantly, the market appears **not** to be pricing the take-rate demotion — the idea that airtime lending comes back permanently less profitable per naira lent, and that the reaffirmed “high-20s to low-30s” fintech growth target is therefore stale. That is the one genuine disagreement in this file, and it points *down*, not up.

Why we might have edge

Honestly: not much on the long side, and the two places we might have something both argue against owning it.

- **The demotion mechanism.** If lender-of-record → channel is a real structural margin cut, and management has reaffirmed a growth target that assumes the old economics, then the guide is a live disconfirmation risk into the Q3 print. No analyst note in front of either bench contains this. That is a divergence — a negative one.
- **The MoMo carve-out mark.** Mastercard paid about \$200m for roughly 3.8% of MTN’s fintech arm, implying about \$5.2bn for MoMo against a group market value of about R345bn (~\$19.7bn). That is roughly a quarter of the company sitting in a unit growing 13.3% in constant currency against a target of high-20s to low-30s. Whether that mark holds is the decisive valuation question for the equity — and neither bench read the agreement itself.
- **Reading the actual documents.** Our one real, demonstrated edge in this court was mechanical: someone read the operative words of a court ruling instead of a headline that called it a “split decision.” That found the error. It didn’t find a trade.

Why it might be priced in

- The rebound is already in the price — the stock is 44% off its low and analysts' average target already assumes recovery.
- The Iran write-down is old news and disclosed; the market has watched it recur for years.
- The buyback is announced and small; nobody needs us to discover it.
- On the numbers actually reported, the stock is not cheap. On reported earnings it trades around 23x; on management's adjusted figure around 12x; on the honest middle — adjusted, but scoring the Iran charge as the recurring expense it has been — around 16.5x. Trailing, a data vendor shows 15.2x. Against its own history, nothing here screams discount.
- The rules-based reading of the tape ("down 20% from the high") is a normal post-results pullback in a name that had run, not a dislocation.

What could go wrong

This section is written as if we had bought, because that is the only way it is useful.

Failure narrative 1 — the demotion eats more than XtraTime. The new licensing regime is treated as a template. Consumer-lending economics across MoMo get re-cut, the reaffirmed fintech growth target is reset downward at the Q3 print, and the roughly-26%-of-market-value implied for MoMo compresses. We lose on the exact mechanism we identified and then failed to price. *Tripwire exists*: constant-currency fintech growth at the Q3 print; MoMo app review velocity and recent-cohort rating change as a weekly read on whether the whitelist is genuinely re-ramping.

Failure narrative 2 — the IHS deal changes the balance sheet. MTN announced it is buying the rest of IHS Holdings, closing in the second half of 2026, conditional on selling down 30% of IHS Nigeria to local investors. If that is debt-funded, consolidating a leveraged tower company breaks the 0.3x leverage figure the original case rested on. Worse, that 0.3x is a *consolidated* number that aggregates over a separately-listed Nigerian subsidiary MTN does not wholly own; the holding-company number — the one that actually funds buybacks and dividends — was never obtained by anybody. *Tripwire exists but fires late*: the SENS announcement / circular with consideration, funding source and pro-forma leverage. We would learn the answer at the same moment as everyone else.

Failure narrative 3 — NO MONITORABLE TRIPWIRE. A government acts, and the action is effective the moment it is announced. Candidates: Nigeria restricts foreign-currency repatriation so profits earned in naira stop converting; a market imposes a punitive levy, a licence condition, or a forced local-ownership dilution the way the IHS condition already hints at; sanctions escalation forces not just another Iran write-down but a compliance action against MTN Group itself; a currency redenomination resets everything we thought we knew about the naira line. **Unknown-unknown class:**

jurisdictional-sovereign discontinuity — specifically hard-currency convertibility break. There is no filing cadence, no disclosure calendar, no vendor series, and no leading indicator for this. It is not a risk we can watch; it is a risk we can only size for, and we have not translated a single number in this file out of rand into hard currency, which means we have not sized for it at all. MTN earns in naira,

cedi, shilling and a sanctioned Iranian stake, and reports a rand P/E of 15.2x. That multiple is not comparable to anything until it is translated.

The reflexive and structural leg. Our own size is not the problem here and we should say so plainly: on a deployable book of roughly \$3.4m, even a 1% position is about R600k against a R345bn company — far under 0.1% of a normal day's volume. We cannot move this stock and our exit will not be crowded. The structural risks are internal:

- **We would be buying our own predicted flow.** The bull case is “the whitelist re-ramps and the guide holds.” If we wait for evidence of the re-ramp before buying, we are buying at exactly the moment the consensus narrative is confirmed and the price already contains it. If we buy before the evidence, we are buying the thing our own bench says is structurally impaired.
- **The trade may not be executable at all.** We have no live broker quote for this name — the market-data request was denied — and rand trading permission at our broker is unverified. Both benches reached a recommendation on a security neither could price or transact. Any entry band below is arithmetic, not an executable level.
- **Doctrine collisions.** Our rule that emerging-market names must be converted to hard currency before sizing was not satisfied. Our rule that valuations use a live broker mark was not satisfied. Our rule that a “cheap versus its class” claim requires a measured class was not satisfied. Any of the three, on its own, blocks sizing regardless of which direction we like.

If this position loses money, the most likely reason will be that we bought a rand-quoted multiple on naira earnings, and the loss arrives through the currency and the sovereign — a channel neither bench measured, priced, or armed a sensor for — while the operating story we spent all our time arguing about turns out to have been roughly fine.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“A court reversed the Nigerian regulator on 21 Jul; the outage is court-lifted”	Read the operative words in the cited report rather than the headline	The court upheld the DEON Regulations and lifted the injunction blocking their enforcement ; it only held the FCCPC cannot issue telecom licences. Trade body says the matter may not be over.	No — reversed in sign. The core premise of the pitch was backwards.
“The 20% derate prices the loss of airtime lending”	Compared the disputed revenue to group revenue and to the fall in market value	₦50bn ≈ R0.65bn of half-year revenue vs R115.3bn group half-year service revenue (~0.6%); market value fell ~R70bn.	No.
Our own bench's version of that arithmetic	Second bench audited the first	Our bench compared a half-year revenue number to a market-cap number. Capitalised properly (~R1.3bn/yr at ~12x ≈ R15bn), the gap is real but the stated ratio overstated it by roughly 20x. Conclusion survives; the presentation was sloppy.	Conclusion yes, arithmetic no — our error.

Claim	How checked	Found	Confirmed?
“R6bn buyback implies R193.50/share, above spot — management is bidding”	Divided the authorisation by the actual share count	$R6bn \div 1.83bn \text{ shares} = 1.7\%$ of the company, discretionary, inside an existing 40–60%-of-free-cash-flow return policy. The “R193.50” came from dividing by ~31m shares.	No — arithmetic error in the pitch.
“Damage-absent within a dislocated class”	Looked for the peer list	The peer file was never opened and no peer number appears anywhere. The label cannot be tested.	No — the label is void, not merely weak.
“Stock is 20.5% off its high; +50% over the past year”	Read the vendor page the pitch itself cited	Same page shows +25.7% over one year; stock is +43.5% above its 52-week low , –18.4% off a 26-week high. The pitch’s own price facts contradicted each other.	No.
Pack’s 52-week high of R537.80 / –64.5% drawdown	Checked internal consistency against the pack’s own 26-week high and vendor data	Vendor price-artifact (unadjusted history). Both benches independently flagged it. Real 26-week high R234.26.	Superseded — this is our most reliably reproduced catch.
Pack’s “next print 2027-03-22”	Checked against disclosure calendar	That is the full-year date; it skips the Q3 update entirely.	Superseded.
“Trading at 11.8x”	Rebuilt from reported vs adjusted earnings	~23x on reported, ~12.1x on adjusted, ~16.5x scoring the Iran charge as recurring (it has doubled, to 213c/share from 104c). Vendor trailing 15.2x. Annualising a half-year is crude — second-half seasonality unverified.	Partly — only the most flattering version was quoted.
“The street agrees with us, so there’s no edge” (our bench’s kill)	Second bench audited it	Our bench never produced our own FY27 earnings number next to the street’s. It counted analysts and compared directions. It also argued the take-rate demotion is unpriced — which is a divergence — and then filed it as agreement.	No — our own kill was unproven and internally inconsistent.
“IHS deal could break the leverage case — fatal if debt-funded”	Second bench audited the severity tag	The deal is confirmed; the consideration and funding source are unverified . Severity was assigned to a hypothesis.	Existence yes, severity no — our error. Real finding, over-graded.
Live broker price and tradability	Requested quote and permissions	Market data denied; rand trading permission unverified.	No — not established.

Primary source for the results themselves: [MTN Group’s own H1 2026 release](#).

PROPOSED ENTRY BANDS

There is no entry. Size today is zero. No order, no staged order, no watch-and-nibble. Two of the three legs the pitch stood on are factually wrong and the third is untestable, so there is nothing to size against. Separately, the trade could not be executed anyway: no broker price, and rand permission unverified.

What follows are **reopen bands** — the conditions under which this file comes back to court. Reaching a band does not authorise a purchase; it authorises a re-argument.

Reopen on price (either level, with fresh benches):

- **R150.00** — about 21% below the current ~R191. This is roughly 13x the honest earnings basis (adjusted first-half earnings of 793c less the 213c recurring Iran charge, annualised to ~R11.60). At 13x we would be paid for the take-rate haircut we cannot yet quantify. Today's ~16.5x on the same basis pays us nothing for it.
- **R139.00** — roughly 12x the same basis, and about 4% above the 52-week low of R133.16. This is the level at which the file is worth a full rebuild from primary documents.
- **R133.16 (52-week low) breached** — reopen as an *information* event, not an entry. A break of the low says the tape knows something neither bench found; we go looking for what.

Close the file (stop spending bench time):

- **R234.26** reclaimed — the 26-week high. If the stock takes that back while the whitelist re-ramp is still unverified, the “post-results pullback” reading is settled and there is no gap left to argue about.

Reopen on evidence, at any price — in priority order:

1. The MoMo / Mastercard agreement read at the primary source: the ~\$5.2bn implied value, roughly a quarter of the company's market value, is the single input that could re-rate this file in either direction.
2. MoMo app review velocity in Nigeria and South Africa — reviews per day plus recent-cohort-versus-lifetime rating change. This is a free, dated, weekly read on whether the whitelist re-ramp management promised for Q3/Q4 is actually happening, and it arrives *before* the print.
3. IHS consideration, funding source and pro-forma net-debt-to-EBITDA from the SENS announcement or circular.
4. Our own FY27 adjusted earnings estimate, with the lender-to-channel take-rate haircut explicitly named, placed beside the street's. Without this we have no gradeable disagreement in either direction — which is the true state of this file.
5. Holding-company leverage (not consolidated) and cash actually upstreamed from Nigeria.
6. Rand trading permission plus a live broker price. Until this exists the name is unexecutable and everything above is theoretical.

Short side: explicitly not proposed. The one genuine disagreement points down, but it fails our own short checklist — no confirmed borrow, no trading permission, no catalyst inside five trading days, and the emerging-market sovereign leg is unpriced. It stays in the work queue as an idea, not an order.

Catalyst dates (confidence stated, because none is company-confirmed):

- **IHS transaction close — second half of 2026.** Announced with results; no date given. Nearer and larger than anything the original pitch chose to watch.
- **MTN Nigeria Q3 / nine-month results — approximately 29–31 Oct 2026.** **UNCONFIRMED**, inferred from last year's calendar, not from a 2026 company notice.
- **MTN Group Q3 trading update — approximately early Nov 2026.** **UNCONFIRMED**, same basis.
- **Full-year results — 22 Mar 2027. Vendor-derived, UNCONFIRMED.**
- **No print within five trading days.** H1 2026 landed 24 Aug 2026, two trading days ago.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 133.16 (deck-provisional: 52-week low breached — reopen as an information event; the tape knows something neither bench found)
- dated pack MTN.JO|2026-10-30: MTN.JO: MTN Nigeria Q3/9M results — approximate, inferred from the 2025 calendar (date confirmed=False)
- dated pack MTN.JO|2026-11-05: MTN.JO: MTN Group Q3 trading update — approximate, inferred (date confirmed=False)
- dated pack MTN.JO|2026-12-31: MTN.JO: IHS Holdings transaction close, stated only as 'H2 2026'; date is a placeholder for the outer bound (date confirmed=False)
- dated pack MTN.JO|2027-03-22: MTN.JO: MTN Group FY2026 results — vendor-derived, no company notice (date confirmed=False)

What remains unverified

- **The MoMo / Mastercard agreement itself.** ~\$200m for ~3.8% implying ~\$5.2bn, roughly 26% of the group's market value. Nobody read the document. This is the decisive valuation question and it is open.
- **The court judgment's actual text** (FHC/L/CS/760/2026). Both benches worked from the same secondary report. Our reading of it is well supported by that report's own quoted language, but it is not the judgment.
- **IHS consideration, funding source, and pro-forma leverage.** Confirmed to exist, entirely unpriced.
- **Holding-company leverage and cash upstreamed from Nigeria.** The 0.3x figure everyone quoted is consolidated — it aggregates over a partially-owned listed Nigerian subsidiary and counts cash the parent does not fully own. The 30% local sell-down condition on IHS Nigeria widens that leak further.
- **The original SENS results announcement** — the PDF could not be read, and a mirror site blocked us. Everything about earnings in this deck is second-hand or vendor-sourced.

- **Share count and capital structure** come from a data vendor (1.83bn shares), not from a filing. MTN is not an SEC filer, so there is no structured filing data behind any of these numbers.
- **Our own FY27 earnings number.** Does not exist. Without it we have no measurable disagreement with the street, which means we cannot grade ourselves on this call later — a defect in its own right.
- **The peer group.** Never constructed. The screen label that got this name into court cannot be evaluated.
- **Hard-currency translation.** Not performed.
- **Whether we can trade it at all.** Rand permission unverified; no live broker price obtained.
- **Every catalyst date above.** None is confirmed by a company notice.
- **Second-half earnings seasonality.** Our 16.5x “honest” multiple annualises a half-year. That is crude and we have not checked whether MTN’s halves are comparable.

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